

A month later, price returns to the bottom trendline and moves higher for a few days. However, the rise stalls and price pierces the lower trendline. Like a replay of the price action a month earlier, price pulls back to the trendline and starts moving higher. However, this rise falters on low volume and price quickly returns to the lower trendline. When price gaps down on 16 April, another breakout (a genuine one this time) occurs. In rapid fashion, price plummets to below 12.75, nearly a 50% decline from the high.

Appearance. Looking back at [Figures 12.1](#), [12.2](#), and [12.3](#), there are several characteristics that ascending broadening wedges share. The overall shape appears as a megaphone, but this megaphone tilts upward: Both trendlines slope higher. The upper trendline has a higher slope than the lower one, giving the formation a broadening appearance.

Trendlines. The two trendlines outlining the wedge diverge, but both trendlines tilt upward.

Touches. In my studies of ascending broadening wedges, I select formations that have at least five touches total (three of one trendline and two of the other). The five-touch minimum helps identify reliable chart patterns. Each touch should be a minor high or minor low. If price cuts through a trendline, such as at the start or end of the wedge, it doesn't count as a valid touch.

Whitespace. The pattern should have price crossing from top to bottom frequently. Avoid patterns with a big chunk of whitespace.

Volume. The volume pattern is irregular (which is common for long patterns) but generally rises as price moves up and recedes as price declines. Although it is not clear from the charts, volume tends to rise over time. However, an upward volume trend is not a mandatory selection guideline. If volume trends down, then that's fine.

Breakout direction. [Figure 12.3](#) shows a false breakout. Usually, price follows the lower trendline and does not penetrate it until the actual breakout. When price does break out, the price action can be messy, as shown in the figure. Sometimes price runs straight through the lower trendline without pausing, and sometimes it weaves around the trendline before finally continuing down.